

Bear market results say to avoid those stocks trading within a third of the yearly high for the best results.

Table 72.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	89% down	90% down
Extension length	15 days	15 days
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L –21%, M –17%, H –18%	L –27%, M –27%, H –24%
Pullback occurrence	63%	66%
Average time to pullback bottoms	–10% in 6 days	–13% in 6 days
Average time to pullback ends	12 days	11 days
Average decline for patterns with pullbacks	–19%	–25%
Average decline for patterns without pullbacks	–18%	–27%
Percentage price resumes trend	51%	55%
Performance with breakout day gap	–19%	–27%
Performance without breakout day gap	–18%	–26%
Average gap size	\$0.30	\$0.45

Pullbacks. A pullback happens after the breakout when the stock returns to the breakout price within a month. About two of every three trades in extended V-tops will see a pullback. Why is that important? Because when a pullback appears, performance suffers. That's not evident in the bull market numbers but is more pronounced in bear markets. In fact, most chart pattern types suffer when throwbacks and pullbacks appear. Thus, look for nearby underlying support and choose to trade those situations where support is farther away.

For a quick swing trade, you can short a stock when the low price drops below the bottom of the extension and close out the trade in 5 or 6 days. If